AR
2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Deere & Company

2 July 2026 · the qualitative

$627.63

NYSE : DE · $169.7B mkt cap · 270M sh · $8.28B cash, $13.8B debt · $8.28B cash; ~$13.8B modeled equipment-ops debt (excludes the ~$45B captive lender; see pushback); ~270M shares; Revenue $45.7B FY25 (-12%, third down-year off the FY23 $61.3B peak); GAAP op margin 14.0% (trough); FCF ~$6.1B (~13%); ~$577, YTD ~+10.5%, TTM ~+19%; 52-week $433-$674 (ATH $660 Feb 2026), ~26x trough FCF

Mature-Company DCF

THE CENTRAL QUESTION

Has Deere's stock already priced the ag-cycle recovery off the trough, or does the precision-ag recurring-revenue mix structurally lift mid-cycle margins beyond what ~26x trough FCF embeds?

Deere trades at ~$156B (~$577, +10.5% YTD into the cycle low) — ~26x trough FCF on $45.7B revenue down 12% in the third year of an ag down-cycle, GAAP operating margin compressed to 14.0%, FCF ~$6.1B. The DCF asks whether the recovery is already priced: the modal case says largely yes (base -23%) — a full multiple on trough earnings already discounts the upturn. The bull is the cycle turning plus precision ag de-cyclicalizing margins. The finding: -21.8%, quality bought rich near a trough.

PROBABILITY-WEIGHTED EXPECTED VALUE

$451.41 expected fair value today

-28.1% vs spot $627.63

FORWARD COMPOUNDED VALUE

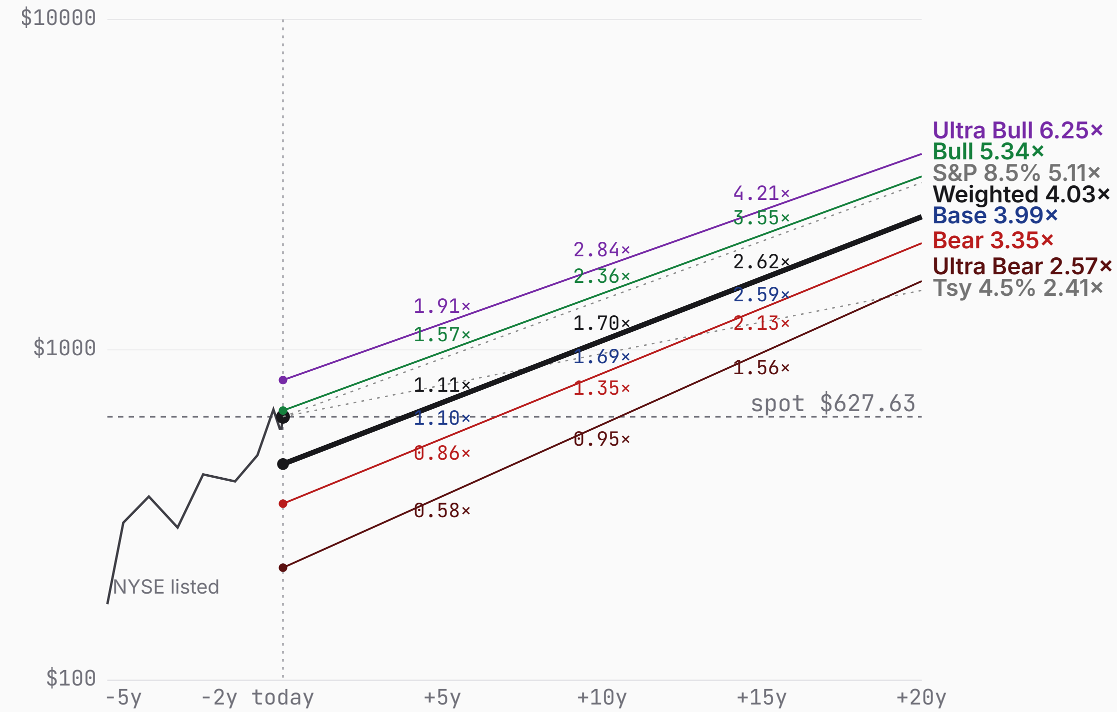
+5y	+10y	+15y	+20y
$693.69	$1,066.80	$1,641.90	$2,529.04
1.11× spot	1.70× spot	2.62× spot	4.03× spot

WEIGHTING RATIONALE

Ultra Bear 14% Deeper, longer ag recession; trough deepens; ~$219 (-62%).
Bear 27% Recovery is slow; trough margins stick; ~$342 (-41%).
Base 34% Cycle recovers as priced; mix nudges margins; ~$447 (-23%).
Bull 17% Cycle turns + precision ag de-cyclicalizes; ~$655 (+13.5%).
Ultra Bull 8% Precision-ag platform re-rates the cycle away; ~$810 (+40%).

Bull (17%) + Ultra Bull (8%) together contribute $176.24 — 39% of the $451.41 expected value despite 25% combined probability. Today's spot ($627.63) sits 39% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$219.23	$342.52	$447.05	$655.36	$810.42
-65.1% vs spot	-45.4% vs spot	-28.8% vs spot	+4.4% vs spot	+29.1% vs spot
CAGR +1.1% WACC 10.5%	CAGR +4.0% WACC 9.5%	CAGR +6.2% WACC 9.0%	CAGR +8.2% WACC 8.5%	CAGR +10.0% WACC 8.2%
CAGR +1.1% Prob 14%	CAGR +4.0% Prob 27%	CAGR +6.2% Prob 34%	CAGR +8.2% Prob 17%	CAGR +10.0% Prob 8%
Deeper, longer ag recession.	Recovery is slow; trough margins stick.	Cycle recovers as priced; mix helps.	Cycle turns + precision ag de-cyclicalizes.	Precision-ag platform re-rates the cycle.

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Deere & Company scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 14% Bear 27% Base 34% Bull 17% Ultra Bull 8% · Weighted expected $451.41 (-28.1% vs spot)

ULTRA BEAR $219.23

-65.1% vs spot

Probability 14%

Deeper, longer ag recession.

WHY 14%

The genuine bear: large-ag is already guided -15-20% with weak farm income, the FY26 net-income guide ($4.5-5.0B) is roughly half the peak, and a full multiple on trough earnings has no cushion if the trough deepens. 14% weight on a deeper/longer recession.

WHAT HAPPENS

The down-cycle extends rather than bottoms: large-ag (Production & Precision Ag) keeps falling past the guided -15-20% as farm income stays depressed, used-equipment inventories overhang new sales, and tariffs (~$1.2B FY) compound the squeeze. Revenue declines again before a shallow late-decade recovery; operating margin troughs near 10-13% and the recurring-revenue mix is too small to cushion the drop.

A capital-goods cyclical caught a year early in a worse-than-feared recession earns a low-teens trough multiple -> DCF ~$219 (-62%). The captive-lender complexity and a richer-than-peer starting valuation amplify the downside.

BEAR $342.52

-45.4% vs spot

Probability 27%

Recovery is slow; trough margins stick.

WHY 27%

The cycle turns but a weak farm economy + the ~$1.2B tariff drag keep margins near trough levels and the precision-ag mix immaterial. 27% as the plausible 'recovers but slowly' path given the maintained-but-halved FY26 guide.

WHAT HAPPENS

The cycle bottoms but the recovery is muted: large-ag stabilizes rather than snaps back, Construction & Forestry and small-ag carry the early upturn, and net price discipline holds, but tariffs and a soft farm economy keep operating margin in the mid-teens. Precision ag grows but stays a small share. Revenue recovers low-single-digit to ~$56B by FY30.

DCF ~$342 (-41%) — a slow, margin-capped recovery doesn't support a full multiple on trough FCF; the de-rate toward a normal mid-cycle valuation is warranted if the mix doesn't shift.

BASE $447.05

-28.8% vs spot

Probability 34%

Cycle recovers as priced; mix helps.

WHY 34%

Requires the cycle to recover on a normal timeline with the mix nudging mid-cycle margins higher - consistent with management calling 2026 the bottom and the C&F/small-ag recovery already underway. 34% as the central outcome; the recovery is real but discounted.

WHAT HAPPENS

The modal path: 2026 is the bottom (per CEO John May), the ag cycle recovers along its normal arc, and structurally higher trough margins plus a growing precision-ag recurring-revenue stream (See & Spray, autonomy, JDLink ARR) lift operating margin back toward 17-18% by FY30. Revenue compounds mid-single-digit off the trough to ~$60B.

DCF ~$447 (-23%) — the recovery the bull narrates is largely what today's price already embeds; at a full multiple on trough FCF the modal mid-cycle outcome lands below spot. Roughly the expected normalization, already priced.

BULL $655.36

+4.4% vs spot

Probability 17%

Cycle turns + precision ag de-cyclicalizes.

WHY 17%

The cycle bottom + operating leverage on recovery + a precision-ag recurring-revenue mix structurally lifting mid-cycle margins - the swing factor playing out. ~17% weight on the de-cyclicalization being real.

WHAT HAPPENS

The cycle inflects with operating leverage and the precision-ag thesis lands: See & Spray, autonomous tractors and JDLink convert into a meaningful recurring software/ARR stream that lifts structural margins and dampens the boom-bust swing. Operating margin reaches ~20% on a faster recovery; revenue compounds high-single-digit.

DCF ~$655 (+13.5%) - if recurring precision-ag revenue genuinely de-cyclicalizes the mix and the cycle turns with leverage, the full multiple is justified and the stock re-rates above spot. The core of the bull.

ULTRA BULL $810.42

+29.1% vs spot

Probability 8%

Precision-ag platform re-rates the cycle.

WHY 8%

Everything works - cycle recovery AND operating leverage AND precision-ag recurring revenue scaling into a platform re-rate. ~8%, the long-duration tail.

WHAT HAPPENS

The full second act: autonomy and a See & Spray / JDLink software platform scale into a high-margin recurring layer large enough that the market re-rates Deere from a cyclical toward a precision-agriculture technology compounder, while a strong cycle recovery adds leverage on top. Operating margin pushes past 22%.

DCF ~$810 (+40%) - the platform mix earns a premium multiple and the cyclicality discount compresses; ~8% probability, the asymmetric upside above a justified full price.

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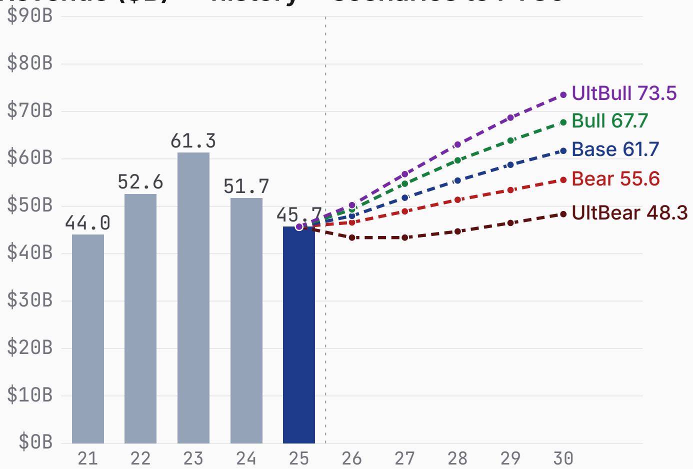
2 July 2026 · the snapshot

Deere & Company business snapshot

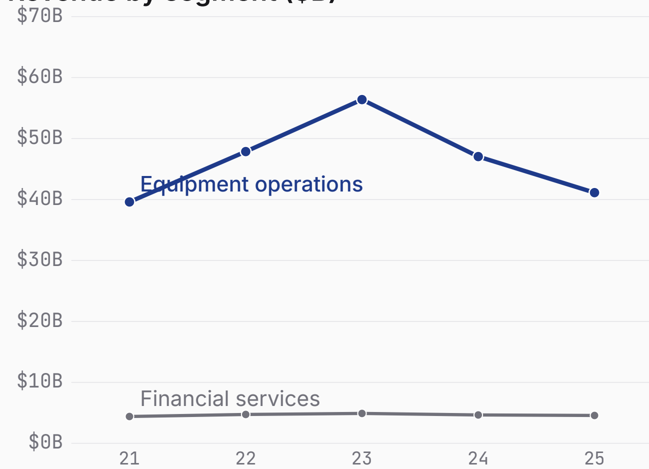
Bear $342.52 Base $447.05 Bull $655.36

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Oct · FQ2 FY2026 (ended May 3) results

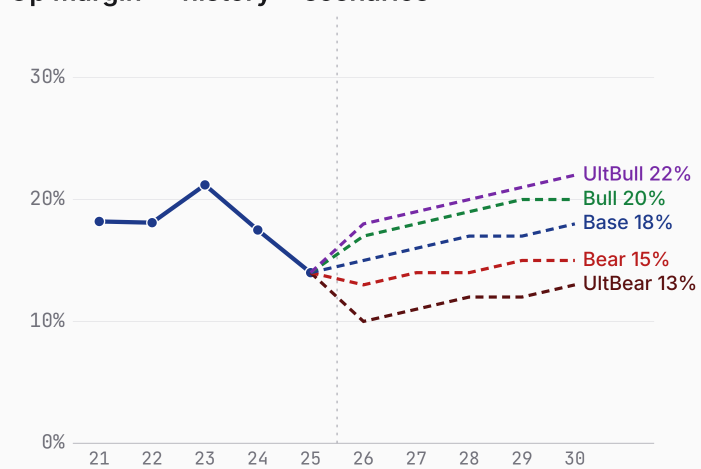
Revenue ($B) — history + scenarios to FY30



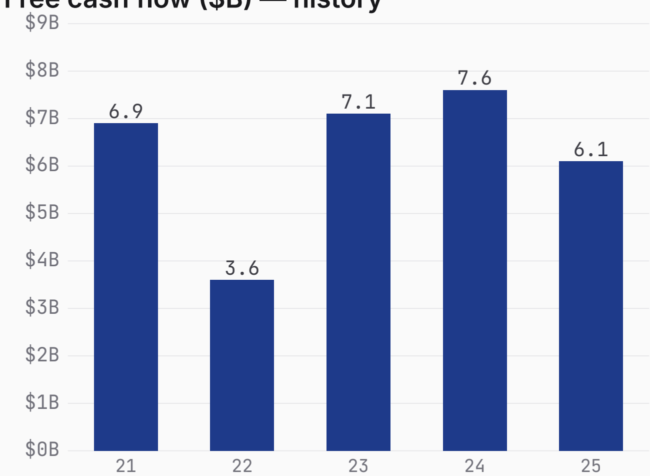
Revenue by segment ($B)



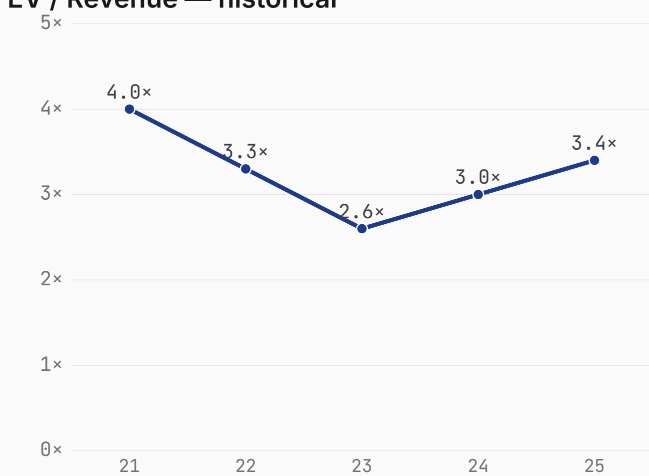
Op margin — history + scenarios



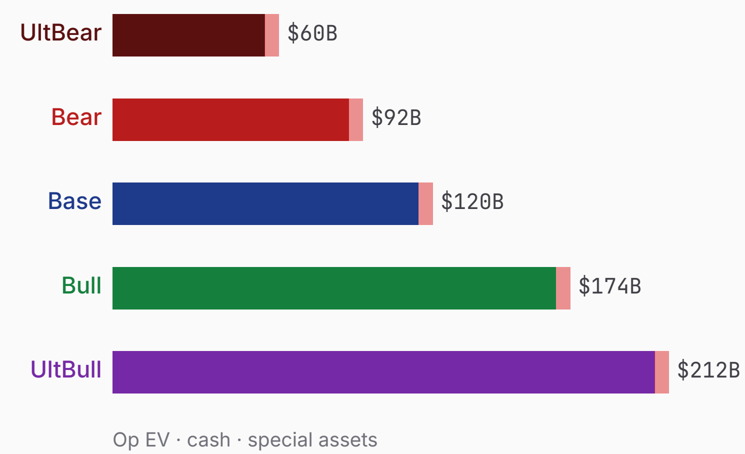
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV − net debt)



Sources: SEC XBRL company facts (CIK 315189), Deere FQ2 FY2026 release (revenue $13.37B/+5%, EPS $6.55, Production & Precision Ag -14%/op profit -39% = the trough, FY26 net-income guide $4.5-5.0B, ~$1.2B FY tariff headwind). NOTE: modeled debt ($13.8B equipment ops) EXCLUDES Deere's ~$45B captive-finance borrowings (offset by finance receivables), so the DCF simplifies a company with a large captive lender. FCF = revenue x FCF margin off FY25; Gordon terminal; vs peers.

Deere & Company 7 Powers · the moat, scored

Bear $342.52 Base $447.05 Bull $655.36

Arena. Farm + construction equipment - Deere (scale leader, dealer network + installed base, emerging precision-ag tech) vs CNH Industrial, AGCO, Kubota in ag and Caterpillar/Komatsu in construction; auditing a scale + cornered-resource Power against the ag cycle and tariffs.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies · thesis leans here
Dominant Power: #1 global ag-equipment maker with R&D, manufacturing and parts scale peers can't match; structurally higher trough margins than prior cycles.

Network Economies
JDLink/Operations Center data network is growing but not yet a hard network effect; emerging with precision ag.

Counter-Positioning
The incumbent, not the disruptor; precision-ag autonomy is more extension than counter-position.

Switching Costs
Real: an installed fleet, dealer service relationships, JDLink data lock-in and operator familiarity make a farmer's next purchase sticky.

Branding
The green brand commands a price premium and resale value, but doesn't override the ag cycle.

Cornered Resource
The exclusive franchised dealer network + the largest installed base - hard to replicate, the distribution moat under the scale Power.

Process Power
Nascent: precision-ag/autonomy (See & Spray, autonomous tractors) is a building manufacturing+software capability, unproven as a durable margin shifter at scale.

PEER SET

CNH Industrial 0% gr · 10% mgn · ~10x P/E
Case IH / New Holland - the #2 full-line ag player; the direct large-ag share comp, also cycle-pressured.

AGCO 0% gr · 8% mgn · ~12x P/E
Fendt/Massey Ferguson - pure-play ag, smaller and more cyclical; the precision-ag (PTx) challenger.

Caterpillar (CAT) 5% gr · 20% mgn · ~18x P/E
Construction/mining scale leader; overlaps Deere's C&F segment, the construction-cycle comp.

Kubota · ~12x P/E
Strong in compact/small-ag and Asia; smaller-equipment share pressure, not the large-ag core.

THREAT VECTORS · FALSIFIERS

Scale Economies · The ag down-cycle + tariffs
falsifier: Large-ag declines worsen and operating margin stays stuck in the low-teens, showing the trough is deeper/longer than priced.

Process Power · CNH PTx / AGCO precision-ag challengers
falsifier: A rival's precision-ag platform wins data/autonomy share, capping the recurring-revenue mix that the bull needs to de-cyclicalize margins.

Cornered Resource · Direct-to-farmer / dealer-model disruption
falsifier: Right-to-repair pressure or new distribution erodes the dealer-network + JDLink lock-in that anchors switching costs.

COMPETITIVE READ

Deere's scale Power is durable (high) - the #1 ag-equipment maker with a cornered dealer network, the largest installed base, and real switching costs from fleets and JDLink data; the structurally higher trough margins this cycle are evidence the moat is widening. The Audit: the live threats are the ag cycle itself plus ~$1.2B of tariffs (which compress margins regardless of moat), and the contest over whether precision ag (See & Spray, autonomy) scales into a recurring-revenue layer that de-cyclicalizes the mix - or whether rivals (CNH PTx, AGCO) split that prize. That squares with the -21.8% finding: the franchise is excellent, but bought at ~26x trough FCF the modal recovery is already priced, and only the bull's de-cyclicalization (or a strong cycle turn) justifies the full multiple.

Deere & Company show your work

Bear $342.52 Base $447.05 Bull $655.36 · Weighted $451.41 (-28.1%)

ULTRA BEAR $219.23

ASSUMPTIONS

5y revenue CAGR (%)	+1.1
Year-5 op margin (%)	13.0
WACC (%)	10.5
Terminal growth (%)	2.0
Terminal FCF ($B)	$6.29B
Starting revenue ($B)	45.68
Scenario probability (%)	14

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	43.40	+10%	+4.34	+3.93
FY27	43.40	+11%	+4.77	+3.91
FY28	44.70	+12%	+5.36	+3.98
FY29	46.49	+12%	+5.58	+3.74
FY30	48.35	+13%	+6.29	+3.81

Σ PV explicit FCF	**+19.37**
+ PV terminal (g 2.0%)	45.78

EQUITY BUILD · $B & PER SHARE

Operating EV	$65.15B
+ Cash & investments	$8.28B
− Total debt	$13.80B
= Equity value	**$59.63B**
FY30 shares (M)	272

= Expected per share $219.23

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$361.17	$595.01	$980.24	$1,614.90
0.58×	0.95×	1.56×	2.57×

BEAR $342.52

ASSUMPTIONS

5y revenue CAGR (%)	+4.0
Year-5 op margin (%)	15.0
WACC (%)	9.5
Terminal growth (%)	2.5
Terminal FCF ($B)	$7.78B
Starting revenue ($B)	45.68
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	46.59	+13%	+5.59	+5.11
FY27	48.92	+14%	+6.36	+5.30
FY28	51.37	+14%	+6.68	+5.09
FY29	53.42	+15%	+7.48	+5.20
FY30	55.56	+15%	+7.78	+4.94

Σ PV explicit FCF	**+25.64**
+ PV terminal (g 2.5%)	72.36

EQUITY BUILD · $B & PER SHARE

Operating EV	$98.00B
+ Cash & investments	$8.28B
− Total debt	$13.80B
= Equity value	**$92.48B**
FY30 shares (M)	270

= Expected per share $342.52

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$539.21	$848.84	$1,336.28	$2,103.62
0.86×	1.35×	2.13×	3.35×

BASE $447.05

ASSUMPTIONS

5y revenue CAGR (%)	+6.2
Year-5 op margin (%)	18.0
WACC (%)	9.0
Terminal growth (%)	2.5
Terminal FCF ($B)	$9.25B
Starting revenue ($B)	45.68
Scenario probability (%)	34

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	47.96	+15%	+6.24	+5.72
FY27	51.80	+16%	+7.25	+6.10
FY28	55.43	+17%	+8.31	+6.42
FY29	58.75	+17%	+8.81	+6.24
FY30	61.69	+18%	+9.25	+6.01

Σ PV explicit FCF	**+30.50**
+ PV terminal (g 2.5%)	94.83

EQUITY BUILD · $B & PER SHARE

Operating EV	$125.33B
+ Cash & investments	$8.28B
− Total debt	$13.80B
= Equity value	**$119.81B**
FY30 shares (M)	268

= Expected per share $447.05

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$687.84	$1,058.33	$1,628.37	$2,505.45
1.10×	1.69×	2.59×	3.99×

BULL $655.36

ASSUMPTIONS

5y revenue CAGR (%)	+8.2
Year-5 op margin (%)	20.0
WACC (%)	8.5
Terminal growth (%)	3.0
Terminal FCF ($B)	$11.51B
Starting revenue ($B)	45.68
Scenario probability (%)	17

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	49.33	+17%	+6.91	+6.37
FY27	54.76	+18%	+8.21	+6.98
FY28	59.69	+19%	+9.55	+7.48
FY29	63.87	+20%	+10.22	+7.37
FY30	67.70	+20%	+11.51	+7.65

Σ PV explicit FCF	**+35.85**
+ PV terminal (g 3.0%)	143.34

EQUITY BUILD · $B & PER SHARE

Operating EV	$179.19B
+ Cash & investments	$8.28B
− Total debt	$13.80B
= Equity value	**$173.67B**
FY30 shares (M)	265

= Expected per share $655.36

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$985.44	$1,481.76	$2,228.06	$3,350.23
1.57×	2.36×	3.55×	5.34×

ULTRA BULL $810.42

ASSUMPTIONS

5y revenue CAGR (%)	+10.0
Year-5 op margin (%)	22.0
WACC (%)	8.2
Terminal growth (%)	3.0
Terminal FCF ($B)	$13.23B
Starting revenue ($B)	45.68
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	50.25	+18%	+7.54	+6.97
FY27	56.78	+19%	+9.09	+7.76
FY28	63.03	+20%	+10.71	+8.46
FY29	68.70	+21%	+12.37	+9.02
FY30	73.51	+22%	+13.23	+8.92

Σ PV explicit FCF	**+41.13**
+ PV terminal (g 3.0%)	176.72

EQUITY BUILD · $B & PER SHARE

Operating EV	$217.85B
+ Cash & investments	$8.28B
− Total debt	$13.80B
= Equity value	**$212.33B**
FY30 shares (M)	262

= Expected per share $810.42

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$1,201.84	$1,782.31	$2,643.13	$3,919.72
1.91×	2.84×	4.21×	6.25×

Deere & Company People · Opportunity · Context · Deal

Bear $342.52 Base $447.05 Bull $655.36

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

John C. May 6 yrs in seat

0.3% insider ownership

LOW key-person risk

Capital allocation (realized)
John May has been CEO since 2019 and Chairman since 2020 (a career Deere executive at a ~188-year-old company). Capital allocation is disciplined through the ag cycle: FY2025 net income $5.0B (−29% in the downturn) and ~$8B free cash flow funded a large buyback ($18B program, ~$10B executed, plus a new authorization in 2026) while the dividend was held flat ($6.48) rather than cut. The ~$43B consolidated debt is overwhelmingly the John Deere Capital captive-finance receivables book, not industrial leverage.

Incentive alignment
May's FY2025 compensation was ~$27.9M, ~92% at-risk and ~54% performance-based; say-on-pay drew ~92% support. Insiders hold ~0.3% as a group — the aggregator "12% insiders" figure simply miscategorizes Gates' Cascade stake. Largest holder Cascade (~10.8%) holds a board seat (Heuberger).

GOVERNANCE FLAGS

- single class of common stock, one vote per share — no dual-class, no controlling shareholder
- combined Chair & CEO (May), mitigated by an independent lead director (Feight) and a 10-of-11 independent board
- board declassified — annual elections (a governance positive)
- the largest holder (Gates' Cascade, ~10.8%) holds a board seat — disclosed, not control
- pronounced ag-equipment cyclicality (FY2025 net income −29%; dividend frozen) — a financial, not governance, flag

THE FOUR LEGS

People ●●●●○
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value (the -21.8% finding) + position sizing.

> PEOPLE READ
> Clean blue-chip governance: single-class one-vote, a 10-of-11 independent declassified board, an independent lead director, ~92% say-on-pay, and heavily at-risk pay. The combined Chair/CEO is mitigated exactly as a comparable mega-cap's is — and there is no founder concentration (insiders ~0.3%). Key-person risk is low for a 188-year-old, professionally-managed institution; the real risk is cyclical, not governance.

Deere & Company supporting analysis · disclaimers · glossary

Bear $342.52 Base $447.05 Bull $655.36

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1. **Modeled debt EXCLUDES the ~$45B captive lender.** The DCF carries only ~$13.8B equipment-ops debt; Deere Capital's ~$45B (offset by finance receivables) is left out, so the equity bridge is approximate.
2. **A full multiple on trough earnings already prices the recovery.** ~26x trough FCF (~17x near the bottom) embeds the upturn; buying the trough is right, but paying full leaves the modal at -23%.
3. **Precision ag is the de-cyclicalizing bull, not yet the base.** See & Spray / autonomy / JDLink build recurring ARR, but the mix is still small (PPA -39%) - it shifts margins only if it scales.
4. **2026 is management's called bottom.** CEO John May calls 2026 the bottom; C&F (+29%/+48%) and small-ag (+16%) recover while large-ag (-14%) troughs - leading legs turn first.
5. **Tariffs are a real, sized drag.** ~$200M/qtr (~$1.2B FY) tariff headwind, partly mitigated via reshoring/USMCA, caps the near-term margin recovery.

FALSIFICATION TRIGGERS

Bull validation
large-ag returns to order-book growth · operating margin recovers toward 18-20% on leverage · precision-ag recurring/ARR revenue grows to a disclosed, material share · net price holds +1.5-2%

Bear validation
large-ag declines worsen past -20% as farm income stays weak · used-equipment inventories overhang new sales · operating margin stays stuck in the low-teens · tariff drag widens beyond ~$1.2B

Reframe needed
if the precision-ag recurring mix fails to scale and margins keep reverting to the boom-bust cycle, re-rate the terminal toward a normal mid-cycle capital-goods multiple - not a de-cyclicalized platform

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Forward-looking statements.
Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

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Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Production & Precision Ag (PPA) — Deere's largest segment - large tractors, combines, planters + the precision-ag tech layer; -14%/op profit -39% this quarter, the cycle trough and swing-factor segment.

Captive finance (Deere Capital) — Deere's in-house lender financing dealer/customer equipment purchases (see pushback for the modeled-debt caveat).

Precision ag / recurring revenue — Software-and-service layer (See & Spray targeted spraying, autonomous tractors, JDLink connectivity/ARR) that adds recurring revenue and, the bull argues, de-cyclicalizes margins.

FCF margin — Free cash flow / revenue (~13% FY25 at the trough); the mature-DCF swing factor - whether cycle recovery + the precision-ag mix lift it durably above the trough.

Ag down-cycle — The boom-bust farm-equipment cycle driven by crop prices and farm income; revenue fell from a $61.3B FY23 peak to $45.7B FY25 - the trough this memo prices off.